

Income

Statement

We concluded our discussions around Balance Sheet in the previous chapter. Now, we are going to talk about income statement in this chapter. We have already understood income statement earlier through common - sizing. Let us now build on the same. We discussed earlier about -



This gave us a good understanding of what the income statement looks like and where the major centers are. Now, we shall break it down further and understand how it operates and what questions need to be asked for different items. These questions will help us understand the income statement better.